

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · Naval shipbuilding, ship repair, and fleet sustainment

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The Navy's May shipbuilding plan says three things about maintenance that belong together, and this issue takes them one at a time. It is abandoning the long, everything-at-once availability. It says its own handling of intellectual property has produced "excessive non-competitive sole-source awards" that degrade organic repair capability, and there is a \$399.6 million contract pair showing exactly what that looks like on one destroyer class. And a House committee has reported a bill that would assign whole categories of surface combatant to single yards for five-year terms, which is still text on a page and cannot be awarded until a report reaches Congress.

Running underneath is the forward yard at Yokosuka, which delivered seven ships on or ahead of schedule between January and April and then lost its entire command team in June, for the second time in twenty months. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's analysis, built only on facts stated above it; Speculation is flagged as such.

WATERFRONT OPS & PRODUCTION

Two command teams gone in twenty months, and the delivery record never moved

FACT: the Navy reported on May 13, 2026 that the Naval Ship Repair Facility and Japan Regional Maintenance Center at Yokosuka returned the destroyer USS *Ralph Johnson* to the fleet on time on April 6, and that "this year, SRF-JRMC has delivered all seven of its completed ships to the fleet on time or ahead of schedule," being two mine countermeasures ships, three destroyers and an amphibious transport dock between January and April. FACT: the Defense Visual Information Distribution Service reported on March 27 and June 28, 2026 that these included USS *Howard*, USS *Higgins* and USS *Chief* in January, and USS *Shoup* and the aircraft carrier USS *George Washington* on time in May. These were Chief of Naval Operations availabilities, meaning maintenance periods large enough that Navy headquarters rather than a local command owns the schedule and money.

FACT: the Navy announced on June 3, 2026 that Rear Adm. Dan Lannamann, commander of Navy Regional Maintenance Center, had relieved the commanding officer, the executive officer and the command master chief "due to a loss of confidence in their ability to command," adding that "there is no impact to the command's mission as a result of these reliefs." FACT: USNI News reported on June 4 that a source familiar

with the decision said the reliefs were due to conduct, not performance, but could provide no further detail. FACT: Stars and Stripes reported that this was the second such removal in twenty months, the previous commanding officer and executive officer having gone in October 2024.

FACT: in both the March and May releases the commanding officer attributed the results to "the dedication and professionalism of the ships' crews, the ship superintendents and their teams, and the entire SRF-JRMC organization," and both describe the work as bringing together the ship's crew, the command's Japanese master labor contractors, local Japanese contractors and US-based companies. FACT: Stars and Stripes reported the organisation employs approximately 120 military personnel, 325 civilians and 2,500 Japanese workers across Yokosuka, Sasebo and Singapore, and more than 714,000 man-days of work in calendar 2025.

Assessment: of roughly 2,945 people, 120 are military. The command replaced its three most senior uniformed positions twice in twenty months; the other 2,825 were there throughout, and so was the delivery record. The deliveries were also completed before the removals, and the only sourced account of cause says conduct rather than performance, so nothing here suggests the output was a leadership product that left with the leaders.

Assessment: the transferable part is narrower than the whole. Master labor contractors are Japanese employees hired under the agreement between the two governments, a workforce a US yard cannot replicate. The ship superintendent layer named alongside them is one every yard has: the people who own an availability end to end, and the layer this command reaches for when it explains its own results.

Open question, and the one that would settle it: whether anything has slipped since June. No delivery announcement after June 28, 2026 was found for this issue, which is not evidence either way — a quiet two months is what a normal summer looks like. The next delivery release is the test.

Bottom line: seven on-time deliveries, then the whole command team removed, twice in twenty months, with 2,825 of about 2,945 people unchanged throughout — a case for treating the superintendent bench as the thing that holds a schedule, pending the first post-relief delivery.

Sources: SRF-JRMC continues to deliver warships to fleet on time; SRF-JRMC bolsters fleet readiness, delivers three warships; Navy relieves SRF-JRMC commanding officer, executive officer and command

master chief; SRF-JRMC delivers two more ships to fleet on time; Leaders of U.S. Navy's ship maintenance facility in Japan removed from command; Second leadership purge in 2 years {sources}

OPERATIONS READINESS

MAINTENANCE &

Smaller, more frequent availabilities: what that does to a schedule, and to a hull

FACT: the Navy Shipbuilding Plan of May 2026 states that "increased operational tempo continues to strain execution of established class maintenance plans," that "the Navy will no longer attempt to restore all capabilities and add upgrades in a single, lengthy maintenance availability," and that it is "integrating operations and maintenance into a maintenance continuum that will use smaller, more frequent availabilities to do needed work while increasing operational availability." A class maintenance plan is the engineering schedule saying which inspections and renewals a class of ship needs and when, and it is the document that protects material condition across a service life.

FACT: the same plan states "we must fix our maintenance schedules with disciplined planning measured to the hour, because every day a ship sits in dry dock beyond plan is a day we lend initiative to an adversary," and describes a "World Class Planning" approach using artificial intelligence and machine learning, "digital twins" that "virtually replicate its ships and simulate decades of wear," and prediction of "which parts will be needed months in advance." FACT: it also states the Navy is "implementing an innovative set of contracting strategies like multi-ship sustained partnerships in private shipyards" and "awarding contracts earlier for complex maintenance to increase planning time and material procurement."

Assessment: the plan states the chain itself. Operational tempo is straining the class maintenance plan; rather than defend the plan, the Navy is changing the delivery model so ships come back faster. The objective it names is increasing operational availability, which means days at sea, and the mechanism is doing less per visit and visiting more often.

Assessment: for a yard executing this, the first effect is churn rather than volume. Annual man-days can hold flat while availability starts and finishes rise. Each start needs a work package, a crew assignment and a material call; each finish needs a test program and a turnover. A yard sized on man-days can be correctly sized and still late, because the constraint moves to how many simultaneous starts its planning and superintendent capacity can carry.

Assessment, and this is the part the plan does not address: work that only fits in a long availability. Some renewals are not divisible. Tank and void preservation,

shaft and stern tube work, main reduction gear access and hull structure behind installed equipment all need the ship open, dry and torn down, and the cost of opening is largely fixed however much you do once you are in. Splitting one long availability into several short ones either pays that cost repeatedly or defers the work that needs it. The plan states the tempo problem and the delivery-model answer, and does not say which outcome it expects.

Speculation, flagged as such: if deferral is what happens, the signature would be a widening gap between planned and actual growth work — the additional work discovered once a ship is opened up — appearing as more of it found late in shorter availabilities. This desk has no data showing that. It is offered as the thing to watch, not as a finding.

Bottom line: plan for more starts and finishes rather than more hours, and treat the indivisible docking work as the risk this change carries, because the plan names the tempo problem and the delivery answer without saying what becomes of work that cannot be split.

Sources: Navy Shipbuilding Plan, May 2026 {sources}

MAINTENANCE TECHNOLOGIES

ENGINEERING &

When the record says "only one source," somebody decided that years ago

Most of what a yard treats as supply risk is really a decision that was made during design and written down during contracting, and the contract record is where you can read it back.

FACT: the Navy Shipbuilding Plan of May 2026 states that "the DON has systematically undervalued its IP rights during contract formulation, resulting in proprietary lock-in on technical data packages, software, and sustainment data," and that "this has led to excessive non-competitive sole-source awards in follow-on procurement and sustainment, driving up total ownership costs and degrading the Department's organic maintenance capability." A technical data package is the drawings, specifications and procedures needed to make or repair a part; without rights to it, only the original manufacturer can lawfully supply or overhaul the item.

Assessment: that is the Navy describing how a monopoly gets manufactured. Not by a vendor cornering a market, but by a programme office deciding at design time that it did not need to buy the data, and a sustainment office living with that for the next thirty years. The "organic maintenance capability" it says is degraded is a public yard's ability to do the work in-house at all.

What that condition looks like in a record is visible in the shipboard air conditioning line.

FACT: federal award records at USASpending show Naval Surface Warfare Center Philadelphia Division

holding two indefinite-delivery vehicles with a single company, together worth \$399.6 million in ceiling through September 2028, both coded “SINGLE AWARD,” “ONLY ONE SOURCE,” “NOT COMPETED” and “ONLY ONE SOURCE-OTHER (FAR 6.302-1 OTHER).” FACT: an April 2026 order under that arrangement, carrying the same coding, is described in the record as “DDG 51 FLT II ... HIGH EFFICIENCY SUPER CAPACITY (HESC) NEW CONSTRUCTION AIR CONDITIONING PLANTS AND BACKFIT KITS,” a backfit kit being the version fitted to a ship already in service rather than one under construction.

Assessment, limit first: nothing here proves this particular determination is about data rights. A finding under FAR 6.302-1 can rest on qualification, tooling, or a design nobody else has been approved to build, and the document that would say which is the Justification and Approval behind the award, which this desk has not read. And the scope is one destroyer class, not the fleet — the Navy buys chillers for many ship types from more than one place.

Assessment: what to take from it is a reading habit rather than a headline. “Only one source” is not an opinion about a market, it is a contracting officer’s formal written finding that no alternative supplier exists, in a public record you can check in a minute. Where it sits against a long-lead item in your package, the exposure is not price and not competition: there is one queue, and no amount of schedule pressure creates a second. That is knowable before the ship arrives rather than after the part fails to.

Bottom line: the Navy has written down that its own IP practice manufactures sole-source dependence; check how your long-lead items were last coded, because “only one source” tells you a decision was already made and you are living inside it.

Sources: *Navy Shipbuilding Plan, May 2026; NSWC Philadelphia IDV N6449825D4018; NSWC Philadelphia IDV N6449825D4036; DDG 51 Flt II HESC order N6449826FX105* {.sources}

BUSINESS PRACTICES & STRATEGY

The five-year, one-yard-per-category bill, and how far it is from real

FACT: section 1018 of H.R. 8800, as reported in the House, directs the Secretary of the Navy to enter a single indefinite-delivery, indefinite-quantity contract for the maintenance, repair and overhaul of “covered vessels” and to issue task orders “across availability periods” by private shipyards, “with a separate task order for each category of covered vessel,” makes the yard holding a task order responsible for “any routine, scheduled, or corrective life-cycle maintenance or repair activity of such vessels assigned to such shipyard,” and requires that no contractor’s term be “less than five years.” FACT: the section defines a covered vessel as “a

surface combatant vessel, as such term is defined in section 8227(e) of title 10, United States Code.”

Assessment: two things that structure does not do are worth saying plainly. It is organised by category of ship rather than by port, so it is not a homeport-based assignment. And it is one contract with task orders beneath it rather than a set of separate awards, so the categories get decided once and then govern for at least five years.

FACT: the section bars entering the contract or issuing any task order until the Secretary submits a report to the congressional defense committees, due not later than 180 days after enactment, containing the categories with “the number, classes, and anticipated availability schedules of vessels” in each, parts and supply-chain forecasting, “standardized work-item sequencing, bundling, and planning requirements,” an assessment of “the adequacy of facilities... including with respect to workforce capacity, dry dock and pier availability,” a cost baseline, and an identification of risks from “schedule disruptions, supply chain delays, or industrial base shortfalls.”

FACT: the section also requires metrics for contractor performance, schedule adherence, cost against baseline and “effects on the industrial base and workforce sustainment,” annual reports for five years, and provides at subsection (e) that the foreign shipyard restrictions of 10 U.S.C. § 8680 apply to any task order issued under it.

Assessment: so nothing has been awarded on this authority and nothing can be for some time. The sequence is enactment, then a report inside 180 days, then a contract, then task orders, and the bill it sits in is committee-reported text. This desk did not verify the floor status of either chamber’s bill, so no date should be inferred.

Assessment: which makes the report, not the award, the thing to want. A published statement of which classes group into which category, with anticipated availability schedules and an assessment of dry dock and pier adequacy, is the Navy writing down whose capacity it is counting on — useful whether or not the contract ever exists, and it arrives first.

Bottom line: a real structural proposal that is nowhere near real yet, and the thing to watch for is the 180-day report on categories and facility adequacy rather than a contract announcement.

Sources: *H.R. 8800, section 1018, as reported in the House* {.sources}

Deckplate: the yards have been past the point where an hour buys an hour for a decade

FACT: the Government Accountability Office reported in August 2020 that the Navy’s four public shipyards completed 38 of 51 maintenance periods late for aircraft carriers and submarines with planned completion dates in fiscal years 2015 through 2019, for a combined 7,424 days of delay, and identified two main causes: unplanned

work found after planning is finished, and shipyard workforce performance and capacity.

FACT: the same report found Naval Sea Systems Command set maximum overtime rates “ranging from 12 percent to 18.2 percent more hours than a standard 40-hour workweek,” and that “every shipyard had exceeded the maximum overtime rates for every fiscal year we reviewed.” FACT: in critical production shops it found overtime “ranging from 25 to 32 percent with peak overtime rates as high as 45 percent,” and its own footnote converts those to hours: a shop at 29 percent overtime averages 51.6 hours per person per week, one at 37 percent averages 54.8.

FACT: GAO found planned work was “23 percent more than might be expected to be completed without the use of overtime,” and that per the Navy, “completing the daily workload without the use of overtime would require 4,160 more shipyard personnel per day.” FACT: it also reports a study prepared for the Navy in 2008 found the yards “have been using overtime to an extent that diminishes productivity,” and that fiscal 2015 through 2019 overtime “is comparable to overtime rates reported in the 2008 study.”

Assessment: that last pair is the finding. A study the Navy commissioned itself said in 2008 that the yards were working enough overtime to hurt output, and eleven years later GAO measured the same rates. This is not a surge that got away from anyone, it is the operating point, and the 4,160-person figure says why: the workload was never sized to the workforce, so overtime is not the response to a bad month, it is the plan. The consequence is that hours and output have come apart. The arithmetic that says “we are 200 man-days short, authorise 200 man-days of overtime” stops holding somewhere in that range, and the gap shows up as schedule rather than as a line on a report.

FACT: on supervision, GAO found that between fiscal 2015 and 2019 fully trained, non-supervisory production personnel increased by 431 people while “supervisors for production personnel increased by 408,” and that “supervisors engage in direct production to some extent and also provide on-the-job training.” FACT: it also states it can take up to four years for apprentices to become journeymen and five to seven to become fully trained.

Assessment: so “add supervisors” has already been run as an experiment, at close to one supervisor per additional journeyman, and the delays persisted. If supervisors are also producing and also teaching, and the pipeline behind them takes five to seven years, the

variable is what a supervisor’s hours go to — which a yard controls without hiring anybody.

FACT: and the machinery around that job changed this spring. Government Executive reported in April 2026 that an April 9, 2026 memorandum from the Secretary of Defense directed termination of all collective bargaining agreements to which the department is a party within twenty-four hours, citing national security, with exemptions covering agency police, guards and firefighters and Federal Wage System workers at four named installations, none a naval shipyard. FACT: Maine Public reported on April 20, 2026 that at Portsmouth Naval Shipyard agreements covering several hundred workers were terminated, that the Portsmouth Metal Trades Council’s agreement survives only by court injunction, and quoted the American Federation of Government Employees’ David Gonzalez saying “when you take away collective bargaining, there’s no grievance process.”

Assessment: put those together and the first-line supervisor is managing a workforce at sustained high overtime, with a long training pipeline behind it, using fewer defined procedures for discipline, schedule change and complaint than the job had in March. That is a heavier job, and none of the changes was made for that reason. The status at Norfolk, Puget Sound and Pearl Harbor was not established for this issue.

Bottom line: the yards have run above their own overtime ceilings every year for a decade, on a workload the Navy says is 4,160 people per day short, so the lever is what supervisors’ hours are spent on rather than how many hours anyone authorises.

Sources: GAO-20-588, Navy Shipyards: Actions Needed to Address the Main Factors Causing Maintenance Delays; Hegseth orders termination of union contracts; Trump admin ends collective bargaining agreements with 2 Portsmouth Naval Shipyard unions {sources}

The Waterfront Brief is compiled weekly by the B2 vault’s research engine from NAVSEA and Navy releases, DVIDS, USNI News, Stars and Stripes, Government Executive, Maine Public, congressional records and USASpending award records, then synthesized and labeled by hand (129 sources staged this week). Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Freshness policy: every article’s anchor source is under 12 months old; this issue’s anchors run from six weeks to four months old, and older material appears only as clearly dated context, which here means GAO’s 2020 report on shipyard maintenance delays. Contract-record figures are read directly from the USASpending API rather than from press summaries. FACT means the named source says it, not that this desk has independently verified it; Assessment is analysis built only on facts stated above it. Corrections welcome; the staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page (dates and registration deadlines exactly as organizers publish them). **Bold** marks a decision that closes inside the next 60 days.

Dates	Event	Register by	Why it matters
Aug 18-19, 2026	National Shipbuilding Research Program (NSRP) Electrical Technologies Panel Meeting, Pullman, WA (also virtual)	None published (Cvent link open)	The panel behind the fiber-optic switchboard-sensing pilot; tech transfer for electrical condition monitoring
Aug 24-25, 2026	NSRP Workforce & Compliance Panel Meeting, Pensacola, FL	In-person closed Aug 13, 2026	Cross-yard workforce practices while the Navy chases its 250,000-hire target
Aug 25-27, 2026	PSNS & IMF Sustainment Accelerator, Bremerton, WA (National Center for Manufacturing Sciences, with Puget Sound Naval Shipyard and Intermediate Maintenance Facility)	Not published	A public yard publishing the gaps it will be sold on: non-destructive testing, welding, portable power and machining, 3D scanning and metrology, confined-space monitoring, fibre-optic splicing, unmanned systems
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium 2026, Virginia Beach, VA (American Society of Naval Engineers, ASNE)	Early bird thru Aug 16, 2026	The flagship fleet-maintenance event for exactly this work
Sep 29 - Oct 2, 2026	Shipbuilders Council of America Fall Membership Meeting 2026, Washington, DC	Members only; none published	The surface-repair industrial base's Hill-and-Navy engagement window
Oct 28-29, 2026	Arctic Operations Symposium 2026, Baltimore, MD (ASNE)	Not published yet	Cold-region sustainment, hull and machinery readiness
Nov 16-17, 2026	Navy Procurement Outlook Summit, Reston, VA (Defense Leadership Forum)	Eventbrite open; no deadline published	Shipbuilding-plan and contracting priorities, with contracting-officer access
Dec 7-9, 2026	Technology, Systems & Ships / Combat Systems Symposium, Arlington, VA (ASNE)	Not published yet	Technology and ships exchange near the NAVSEA customer
Jan 26-28, 2027	Military Additive Manufacturing Summit, Tampa, FL	Tiers: Oct 2 / Dec 4; closes Jan 22	Metal and polymer print qualification and NAVSEA-spec adoption
Mar 23-25, 2027	NSRP All Panel Meeting 2027	"Coming soon" per NSRP	Where yard R&D ideas get socialized and teamed program-wide
Apr 12-15, 2027	RAPID + TCT 2027, Detroit, MI (SME)	None published	The largest additive show in North America; the market read behind the Danville pipeline
Jun 7-9, 2027	MegaRust 2027, Hampton, VA (ASNE)	Not open yet per ASNE	The Navy corrosion event; preservation is a top waterfront cost driver

Beyond the printed window, rolling in as it approaches: Indo Pacific 2027 International Maritime Exposition (Nov 2-4, 2027).